

GZ: 2022-0.021.739 dated March 1, 2022 (Case Number: DSB-D213.971)

[Note from the editor: Names and companies, legal forms and product designations, addresses (including URLs, IP and email addresses), file numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

DECISION

RULING

The Data Protection Authority decides based on the official investigation procedure conducted against N*** Österreich GmbH (Controller), **** K***stadt, O***gasse *3, Company Registration Number: *4*8*2r, represented by A***, B*** & Partner Attorneys-at-Law, **** Wien, ****platz 4*/3, as follows:

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The Controller violates the GDPR by processing personal data of employees through the GPS system "L**Track" installed in fifteen company vehicles, without the necessary conditions being met. The Controller is hereby prohibited from processing personal data that can be determined by the GPS system "L**Track" with immediate effect.

Legal Bases: Art. 6, Art. 51 para. 1, Art. 57 para. 1 lit. h, Art. 58 para. 2 lit. f GDPR of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter: GDPR), OJ No. L 119 of May 4, 2016, p. 1; §§ 1, 18 para. 1 of the Data Protection Act (DSG), Federal Law Gazette I No. 165/1999 as amended, §§ 17 et seq. of the Working Time Act (AZG), Federal Law Gazette No. 461/1969 as amended.

REASONING

A. Submissions of the Parties and Procedural History

1. By letter dated December 11, 2019, and the supplement dated January 5, 2020, the Data Protection Authority was informed by an anonymous tip that GPS trackers had been installed in the company cars of the Controller. These would not only monitor business trips but also private trips, and a movement profile of the employees would also be created.

2. The Data Protection Authority initiated a data protection review on January 28, 2020, pursuant to Art. 57 para. 1 lit. h GDPR ("official investigation procedure") against the Controller regarding the monitoring of company vehicles by GPS trackers.

3. The Controller, represented by legal counsel, summarized in its statement dated March 4, 2020, that it was true that GPS/GSM devices, designated "L**Track," had been installed by the company C***-IT GmbH in the company vehicles and were also in use. The company vehicles were made available to the Controller's service employees. The device, which transmits data via GPS/GSM to a server, is activated by starting the vehicle's ignition and deactivated by turning off the ignition. Additionally, there is a device (switch) in each vehicle that allows the driver/employee to deactivate the device at any time, without needing to turn off the ignition first.

The system itself transmits the following data: the mileage, date and time, starting point of the trip, destination, and the location data of the vehicle (and the actual distance traveled).

The Controller uses this to fulfill its legal obligations, particularly the maintenance of a logbook, recording of working hours, and the associated payroll processing. The intention is not to create movement profiles of individual technicians or to record their private trips. This is neither in the interest of the Controller nor possible with the system. Through this approach, the Controller can simplify administrative processes and handle them more reliably and securely against tampering. Otherwise, it would have to rely on the honesty and documentation work of individual employees. Furthermore, the GPS system used can be deactivated at any time by the individual employees, which means that only the kilometers driven during a period when the system is activated are recorded. It is also possible to deactivate the system by pressing a button during working hours. In the event of deactivation, only the mileage and the kilometers driven are recorded. However, this was already possible or recognizable through the previously maintained logbooks.

GPS data points where the kilometers are driven are not set. A driver/employee can also remove a mistakenly recorded private trip from the system view afterward. It should also be mentioned that parts of the data are already known to the Controller because the employees are assigned to various tasks per day by the coordinators in the internal service. The built-in system merely confirms or records the

data more accurately.

Access to the data is obtained via a software application and the corresponding login data, which are generated by L**Track.

Within the company, only those employees who need the data for their work, such as for payroll processing, financial management, or coordinators, have access to the data. Externally, only C***-IT GmbH as the processor has access, as it provides and maintains the system.

The use of the system is for the purpose of recovering the vehicle in the event of theft, maintaining work records, as well as keeping a logbook and other billing.

These records are therefore necessary to meet the legal obligations related to the Working Time Act and proper...

****Settlement****

(for example: travel compensation, calculation of the benefit in kind, overtime payment) to be able to comply. The work performance itself is not monitored by the employees. The employees have been sufficiently informed or trained about the functioning of the system. Human dignity is not impaired by the system; therefore, no agreement with a potential works council, which is not established with the responsible party, was to be concluded.

In the statement, a screenshot of the data recorded in the system during working hours and activation, as well as outside or during deactivation, was attached as an appendix.

The responsible party relies on both Art. 6 para. 1 lit. f GDPR and § 17 or § 17a AZG.

4. The Data Protection Authority requested the responsible party for a further statement on June 30, 2020. This remained unanswered by the responsible party, and therefore, on January 25, 2021, they were again requested to provide a statement. The legally represented responsible party requested an extension of the deadline until March 15, 2021, in a letter dated February 9, 2021. In a letter dated March 15, 2021, the responsible party again requested to extend the deadline until March 29, 2021.

5. The represented responsible party referred, after the extension of the deadline until March 29, 2021, in their supplementary statement dated March 24, 2021, to their previous submissions and additionally stated that the GPS trackers had been installed in the vehicles at the beginning of 2020. Currently, only a few functions are in use. The recording of working hours does not occur via the GPS trackers. However, activation or setup of this function is planned. The GPS trackers are currently installed in 15 vehicles, and therefore, the same number of employees/drivers are affected. The service vehicles are used exclusively for technical purposes. Employees are allowed to use the vehicles privately. In the company of the responsible party, no works council is established, and therefore, no works council agreement can be concluded or presented. The GPS tracker can be deactivated by a simple switch. A data protection impact assessment has not been conducted because the responsible party assumed that the data processing was subject to the DSFA-AV.

The responsible party has concluded a data processing agreement with C***-IT GmbH in accordance with Art. 28 GDPR. C***-IT GmbH has taken all necessary measures to ensure security in processing. The data will be stored as long as necessary.

Screenshots have been submitted as appendices in the attachment of the statement.

6. The legally represented responsible party summarized in their supplementary statement dated November 29, 2021, that the GPS system installed at the end of 2019 or the beginning of 2020 had not been actively used initially because the legal situation regarding its use as a logbook, for time recording, and for expense reimbursement needed to be clarified first. In January 2020, the system was only used to manage the fleet and coordinate orders, as well as for the preparation of customer invoices. It was not until July 2021 that the GPS system was used for time recording and expense reimbursement, as well as for logbook purposes. Prior to that, data collection had been done manually or via Excel spreadsheets. The installed switch to activate and deactivate the system would light up red in private mode and would not light up in work mode. All employees were trained before the new system was put into use and were informed about the function of the on/off switch. They were also reminded of this again in June 2021 and were once again explained how to subsequently change a trip to private. The responsible party does not have any evidence that employees ever actually reported incorrect working hours. The device also collects data in private mode; however, this data is not forwarded to the software application and therefore cannot be transmitted to the employer. Only the

respective employee has the opportunity to do so through direct access. They can also retrospectively classify a private trip as a business trip. However, this would be transmitted to the software application and would thus also be visible to the employer. Conversely, this change is also possible, although only the mileage would be visible to the employer. The data is stored for a total of 7 years from the year of collection for legal (accounting) reasons and for billing purposes.

Images of the GPS activation switch have been submitted in the appendix of the statement.

7. The legally represented responsible party stated in their final statement dated January 11, 2022, that no works council has been established and that there is also no consent from the individual employees in accordance with § 10 AVRAG. Furthermore, the necessity for this consent does not exist because human dignity is not affected by this control measure.

The "L**Track system" installed in the vehicles does fulfill the objective suitability for monitoring employees but does not affect human dignity because no data from the private sphere of the employees is collected. Data transmission occurs exclusively during the operational use of the respective company vehicle. The collected data, including the starting point and destination of trips, location data of the vehicle, distance traveled, mileage, as well as date and time, have no points of contact with the private sphere of the employees. The control system is exclusively attributable to the operational sphere of the responsible party.

The intensity of control does not occur in an excessive manner, nor does it exceed a typical measure that seems warranted. In this regard, the responsible party stated that there can be no talk of an excessive intensity of control through the use of an electronic logbook solely during working hours. Human dignity is thus not affected. The use requires, due to the changing locations of the service technician, special contemporary control mechanisms, as the trips must be categorized according to sensible business criteria.

The responsible party has an interest in complying with existing legal regulations, such as adherence to working hours or employee protection regulations, for the protection of its property and operational resources, as well as an interest in efficient business management and compliance with the contractually agreed working conditions, as well as observing the duty of care (especially employee protection).

The system used is not associated with constant monitoring of employees, especially since, as mentioned above, only the location of the vehicle can be determined. In comparison, an office employee is subject to a significantly more intense control regarding their respective location, where their work performance could also be monitored much more easily and intrusively.

Consent in accordance with Art. 6 para. 1 lit. a GDPR is not present, as it is not required. The responsible party relies on legitimate interest on one hand and on the fulfillment of a legal obligation on the other hand in the use of the L**Track system.

According to § 17b AZG, the responsible party is obligated to keep records of the working hours of its employees/drivers, which can be presented "without gaps" to the labor inspector if necessary. There is the possibility of using a digital control device.

So far, the recording was done using an Excel spreadsheet. The working hours were therefore not recorded immediately but rather retrospectively. As a result, these were often inaccurate, as employees could no longer remember exactly when and where they had been and could only provide approximate information. Occasionally, private trips were also made during working hours and accounted for as working time. This will be avoided by the L**Track system.

The responsible party has an interest in ensuring that the records of employees regarding work deployment, working hours, travel expense accounting, etc., are kept accurately. Additionally, there is an economic interest in deploying individual employees in an economically sensible manner and avoiding unnecessary downtimes or detours. Incorrect records could also lead to high penalties for the responsible party. Quick responses to inquiries are particularly important for customer retention, and the system also serves this purpose among others. Furthermore, the service vehicles provided to employees are leased vehicles, and the system is also used for localization of the vehicle in the event

of theft.

B. Subject of Examination

The subject of the present procedure is whether the responsible party can rely on the legal bases it has indicated regarding data processing through GPS trackers in the service vehicles.

C. Findings of Facts

1. The responsible party is a limited liability company (GmbH). The responsible party does not have a works council. It has leased the company vehicles used by its employees from a leasing provider. Evidence Assessment: These findings are derived from the statement of the legally represented responsible party dated March 24, 2021, as well as the statement dated January 11, 2022.

2. The responsible party had GPS trackers installed in a total of fifteen company vehicles from the company C***-IT GmbH at the end of 2019 and at the beginning of 2020. The service technicians are allowed not only to use the leased company vehicles for work purposes but also for private use. The GPS tracker, which is a GPS/GSM device designated as "L**Track," is permanently installed in the individual vehicles and is therefore not a portable device. From the end of 2019 until July 2021, the GPS system was only used for specific inquiries regarding the vehicle's location. From July 2021, the system was expanded for time recording and for expense accounting as well as for use as a logbook. Prior to that, data collection was done manually or via Excel spreadsheets.

Evidence Assessment: These findings are derived from the statement of the legally represented responsible party dated March 24, 2021, as well as the statement dated November 29, 2021.

3. The device designated as "L**Track" is activated when the vehicle's ignition is turned on and is deactivated when the ignition is turned off. Additionally, there is a switch in each vehicle that can activate or deactivate the device, regardless of the ignition position. Once data is transmitted to the system, the light on the switch goes out. If the private mode is activated by the respective service technician, the switch lights up.

[Note by the editor: The image presented here as a facsimile (graphic file) cannot be easily displayed in the RIS and has therefore been removed.]

Photo of the activated "switch." Formatting not 1:1.

[Note from the editor: The photograph presented here as a facsimile (graphic file) cannot be displayed properly in the RIS and has therefore been removed.]

Photo of the fixed "switch" in the service vehicle. Formatting not 1:1

Assessment of Evidence: As above.

4. The GPS/GSM device system, which is hosted by the D*** billing center, transmits data to a server. The following data is currently transmitted: mileage, starting point and destination of the trip, location data of the vehicle, the route taken, as well as date and time. Telemetry data, such as braking behavior, seat occupancy, load, RPM, shift points, and speed are not transmitted. Parts of this data (address as well as arrival and departure at the customer) are known to the responsible party due to the coordinators who assign or organize the orders in the internal service, even without the use of the installed device. Access to the data is obtained through a software application and the corresponding login data, which is generated by L**Track. Login data must be changed by the respective user upon first login, thereby personalizing it for the respective employee. Only those employees of the responsible party who need this data for their activities have access to the system. These are employees responsible for payroll and financial management as well as the coordinators. Externally, only C***-IT GmbH as the processor has access.

Assessment of Evidence: These findings arise from the statements of the legally represented responsible party dated March 4, 2020, March 23, 2020, and November 29, 2021.

5. There is no company agreement or consent for the use of the "L**Track system" in the service vehicles of the respective affected service technicians.

Assessment of Evidence: This finding is based on the statement of the responsible party dated March 4, 2020, and the statement dated January 11, 2022. Furthermore, it is known ex officio due to a currently pending complaint procedure at the Data Protection Authority under file number: D124.3940 that at least one employee has not consented.

6. The internal service coordinators assign the service employees who use the company-leased vehicle to various tasks each day. Therefore, the responsible party is aware of parts of the data transmitted by the GPS system. The responsible party has internal service coordinators, a technical internal service, and an in-house customer service. The service technicians are responsible for the commissioning, maintenance, and servicing of the products. The service technicians use the original spare parts of the responsible party for maintenance and repair orders. Approximately 70% of the orders are maintenance tasks for which specifically assigned spare parts are required. In the event of an early termination of a deployment, the service technicians must contact the coordinator by phone and inform them. Neither valuable items are carried in the service vehicles of the respondent nor has a vehicle been stolen or misappropriated from the respondent.

Assessment of Evidence: These findings are based on the statement of the responsible party dated March 4, 2020. The finding that early terminated deployments must be reported to the coordinators by phone and that 70% of the deployments are maintenance tasks arises from the statements of the complainant (employee of the responsible party) dated November 10, 2021, and November 17, 2021, as well as from the statement of the respondent (responsible party) dated February 23, 2022, from the complaint procedure with file number: D124.3940, and from the ex officio research conducted on January 14, 2022:

[Note from the editor: The screenshot presented here as a graphic file from the website of the responsible party cannot be pseudonymized with reasonable effort and has therefore been removed.]

Formatting not 1:1. Screenshot from the homepage:

https://n***.com/at/de/n***-austria/Kontakt/Wir-****-****-zertifiziert

[Note from the editor: The screenshot presented here as a graphic file from the website of the responsible party cannot be pseudonymized with reasonable effort and has therefore been removed.]

Formatting not 1:1. Screenshot from the homepage with the address:

https://n***.com/at/de/n***-austria/ (Blue highlighting was done by the Data Protection Authority).

[Note from the editor: The screenshot presented here as a graphic file from the website of the responsible party cannot be pseudonymized with reasonable effort and has therefore been removed.]

Formatting not 1:1. Screenshot from the homepage with the address:

https://n***.com/at/de/n***-austria/. (Blue highlighting was done by the Data Protection Authority)

7. There is no concrete evidence or indication that a service technician has reported incorrect working hours. It could not be established that a car has been stolen or damaged.

Assessment of Evidence: This finding is based on the statement of the responsible party dated November 29, 2021. The finding that no leased car has been stolen or damaged arises from the fact that during the ongoing procedure, the responsible party did not present a specific case of theft or damage to the Data Protection Authority. Furthermore, the finding arises from the statements of the... from the complaint procedure with the reference number D124.3940, it is evident that there has not yet been any theft.

D. From a legal perspective, it follows that:

A data controller is, according to Art. 4 No. 7 GDPR, the natural or legal person, authority, institution, or other entity that alone or jointly with others determines the purposes and means of processing personal data. In the present case, there is no doubt, and this has not been disputed by the data controller, that it is the data protection responsible party for the data processing carried out.

According to Art. 4 No. 1 GDPR, personal data refers to any information relating to an identified or identifiable natural person. To determine whether a natural person is identifiable, all means that may reasonably be used by the data controller or a third party to identify the person directly or indirectly should be considered ("objective" theory). This broad definition of personal data means that practically all information about a natural person is covered, as long as it can be attributed to a specific individual, at least in combination with other information.

According to Art. 4 No. 2 GDPR, the term processing encompasses any operation or set of operations performed on personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, [...]. In the

present case, the processing does not occur in the vital interest of the affected service technicians; it is also undisputed— as stated in point 7 of the findings and presented in the statement of January 11, 2022, by the legally represented data controller— that there is no consent for data processing. The data controller based the processing of the personal data of the affected service technicians on Art. 6 para. 1 lit. c and lit. f GDPR.

Consequently, it must be examined whether the stated justifications are present.

Regarding the existence of a legitimate interest

According to the established case law of the CJEU, three cumulative conditions are required for invoking Art. 6 para. 1 lit. f GDPR. First, a legitimate interest must be pursued by the data controller or a third party; second, the processing of personal data must be necessary for the realization of the legitimate interest; third, the interests or fundamental rights and freedoms of the person whose data are to be protected must not outweigh those interests.

The balancing of the respective opposing rights requires an assessment on a case-by-case basis (see most recently the judgment of June 17, 2021, C-597/19). In the specific case, the interests of the data controller and the right of the affected service technicians to the protection of their personal data must be weighed against each other.

The data controller argues that, in addition to legal obligations, it has a legitimate interest in the use of the GPS system. It is of interest to them that records regarding work assignments, working hours, travel expense accounting, etc., are maintained correctly, as they have a responsibility towards their employees to ensure that they adhere to their working hours and are compensated accordingly. Additionally, there is an economic interest in deploying individual employees in an economically sensible manner and avoiding unnecessary downtime or detours. Regarding customers, the data controller has an economic interest in ensuring that the services provided are billed correctly, and quick responses to inquiries are important, especially for customer retention. Furthermore, the data controller has a legitimate interest in using the system to locate the service vehicles during working hours as a lessee.

In contrast, there is the interest of the respective affected employees not to be controlled or monitored by the use of the GPS tracker during their working hours.

In its judgment of December 11, 2019, C-708/18, the CJEU stated regarding the second requirement of Art. 7 lit. f of Directive 95/46 (now Art. 6 para. 1 lit. f GDPR), the necessity of processing personal data for the realization of the perceived legitimate interest, that exceptions and restrictions concerning the protection of personal data must be limited to what is absolutely necessary (see, for example, CJEU, May 4, 2017, C-13/16 or CJEU, November 9, 2010, C-92/09 and C-93/09). In other words, the question arises whether the same protective purpose can also be achieved by a milder means or whether the intended goal can be reached with less intrusive data processing.

If the data controller claims that knowledge of the current location allows for a response to a short-term need for deployment or a new order or emergency, it must be countered that the location data of the respective employee of the data controller is already known to the internal service coordinators, and therefore the allocation of a new order is possible without the need for a GPS device.

As credibly presented by the complainant in the complaint procedure with the reference number D124.3940 in his statements of November 10, 2021, and November 17, 2021, and as also...

From the official investigation conducted on January 14, 2022, it is evident that the service employees are responsible for maintenance and repair orders. These account for a high percentage (approximately 70%) of all orders. For these service tasks, almost always order-specific and person-specific spare parts are required. This is derived from the official investigation conducted on January 14, 2022, on the homepage of the responsible party. Logically, the respective service technician does not carry all the necessary spare parts, so they must first collect the order-related parts from another spare parts warehouse. Consequently, in many cases, spontaneous acceptance of orders in the conventional sense is not possible.

Thus, this argument does not hold.

The argument of the responsible party that the GPS system was installed to maintain a digital logbook and to prevent false working time records is not comprehensible. As the responsible party stated in their response on November 29, 2021, there is no concrete evidence that employees have ever actually reported false working hours.

For the data protection authority, it is not clear to what extent the GPS system "L**Track" provides significant administrative relief for the respondent. The employees of the responsible party had to independently record their working hours and maintain the logbook. Logically, for the responsible party, even before the installation of the "L**Track" system, it must have been evident from the order distribution carried out by their internal coordinators to their service technicians where each service technician had worked or been present on the respective days. The responsible party also confirms this in their statement from March 4, 2020, stating that the data was known to them even without the GPS system due to the daily order distribution by the coordinators in the internal service. There is no indication of false working time records. This is evident from the statement of the responsible party dated November 7, 2021.

Thus, this argument also does not hold.

Furthermore, the billing to employees (travel expense accounting, calculation of benefits in kind, overtime payments, etc.) was also possible without the use of the GPS tracker in question, as the responsible party had managed the billing through the coordinators or the records maintained by the employees even before the use of the GPS tracker.

The preceding statements indicate that the requirements for the proportionality of the data processing in question have not been met. It is established that the originally implemented measures (such as coordination of the fleet or the orders by the coordinators and the recording in a logbook, etc.) have proven sufficient to comply with legal obligations.

Furthermore, it should be noted again that there are no indications of false working time records or theft.

The data protection authority does not overlook that data processing through a GPS tracker represents a facilitation of work and an economic relief for the responsible party. However, this alone does not justify a reliance on Art. 6 para. 1 lit. f GDPR.

Based on the aforementioned considerations, the data protection authority concludes that there is a lack of necessity for the data processing (second step of the assessment), which is why a reliance on Art. 6 para. 1 lit. f GDPR is excluded.

Regarding the existence of a legal obligation

If the responsible party further claims that it bases the use of the GPS system on the fulfillment of legal obligations, the following should be noted:

According to Art. 6 para. 1 lit. c GDPR, processing is lawful if it is necessary for the fulfillment of a legal obligation.

A legal obligation under Art. 6 para. 1 lit. c GDPR is to be understood as an obligation under objective law (cf. Frenzel in Paal/Pauly, General Data Protection Regulation Art. 6 para. 16), which may arise particularly from a member state or EU legal basis and directly relates to the data processing (cf. Kastelitz/Hötzendorfer/Tschohl in Knyrim (ed.), DataComm Art. 6 GDPR para. 39).

As the CJEU has consistently held, in addition to the existence of at least one condition under Art. 6 GDPR, all requirements of Art. 5 para. 1 GDPR must also be demonstrated (Judgment of June 22, 2021, C-439/19, para. 96).

The requirement of necessity ensures that the responsible party does not use a predetermined goal as an excuse to process excessive personal data. From the condition of necessity, it follows that the responsible party must limit itself to the necessary extent required by the legal obligation and may not process the data beyond the required purpose and scope. If the legal obligation allows the responsible party the option to refrain from processing and, in particular, from disclosing personal data, it corresponds to the principle of data minimization (Art. 5 para. 1 lit. c) to refrain from processing personal data (cf. Heberlein in Ehmann/Selmayr (ed.), General Data Protection Regulation Art. 6 GDPR and Buchner/Petri in Kühling/Buchner (ed.) Commentary on the General Data Protection

Regulation Art. 6 GDPR).

The Responsible party primarily relies on the provisions of the AZG. Therefore, it must be examined whether the provisions of the AZG establish a legal obligation for the processing of personal data pursuant to Art. 6 para. 1 lit. c GDPR through a GPS system.

According to § 17b AZG, the employer is required to keep records of all working hours performed by drivers and to retain all driver records for at least 24 months. These records must be made available to the labor inspectorate in a complete and orderly manner by driver and date. §§ 17 and 17a AZG refer in this context to the possibility of using or deploying a digital control device. According to § 13 para. 1 no. 5 AZG, a digital control device is understood to mean a digital tachograph within the meaning of Art. 2 para. 2 lit. h of Regulation (EU) No. 165/2014. According to this regulation, a digital tachograph is a tachograph in which a tachograph card is used in accordance with this regulation.

The data protection authority additionally notes - as also put forward by the Responsible party itself - that until July 2021, the function of the tachograph had not been activated. This means that until that time, according to § 17 para. 4 AZG, a logbook had to be maintained independently of the L**Track system, and there were no indications that incorrect or false records were kept.

In summary, the data processing based on Art. 6 para. 1 lit. c GDPR is already deemed unlawful because the purpose could also be achieved through less intrusive means that involve less data processing (Art. 5 para. 1 lit. c).

It was therefore decided accordingly.